Let us assume different price Scenarios:

| MARKET PRICE ON EXPIRY | NET PROFIT/ LOSS | EXPLANATION |
|---|---|---|
| ₹500 | **Call Payoff** = ₹500 – ₹400 = **₹100**<br>**Loss from Call** = ₹100 x 100 = **₹10,000**<br>**Net Loss** = Call Loss -Total Premium = ₹10,000 – ₹4000 = **₹6000** | The call option is exercised. Put Option is not exercised here.The call would take an obligated a payoff of ₹100 , loss of ₹10,000 and net loss will be ₹6000. |
| ₹300 | **Put Payoff** = ₹400 – ₹300 = **₹100**<br>**Loss from Put** = ₹100 x 100 = **₹10,000**<br>**Net Loss** = Put Loss -Total Premium = ₹10,000 – ₹4000 = **₹6000** | The call option is not exercised. However, the put is exercised.<br>The put would take an obligated payoff of ₹100, Loss of ₹10,000 and net loss will be ₹6000. |
| ₹420 | **Call Payoff** = ₹420 – ₹400 = **₹20**<br>**Loss from Call** = ₹20 x 100 = **₹2000**<br>**Net Profit** = Call loss -Total Premium = ₹2000 – ₹4000 = **₹2000** | The call option is exercised. However, the put is not exercised.<br>The call would take an obligated payoff of ₹20, So, the losses due to call payout would be ₹2000.<br>The net profit would be reduced to ₹2000 after the payoff. |

As we can see, the maximum profits are the strike price. As we move in either direction, the profits start to decrease. Outside the range of break-even points, the profits turn into losses and we have potential for unlimited losses as we are selling options.